CHAPTER

2 Consumption Analysis

"Consumption is the sole end and object of economic activity"

– J. M. Keynes

Learning Objectives

1. *To understand the consumer behaviour when price changes.*
2. *To perceive the consumer equilibrium in terms of cardinal and ordinal approaches.*

2.1 Introduction

Consumption is an essential economic activity. The quantity and quality of consumption determine the standard of living of the people. Consumption is the act of satisfying one's wants. Consumption is defined as "*the use of goods and services for satisfying wants*". In economics, consumption is studied both at micro level and macro level.

Consumption is the beginning of economic science. In the absence of consumption, there can be no production, exchange or distribution. Consumption is also an end of production. Producers produce goods to satisfy the wants of the people.

2.2 Human Wants

In ordinary language desire and want mean the same thing. But in economics they have different meanings. Wants are the basis for human behaviour to buy and consume goods.

2.3 Characteristics of Human Wants

a. Wants are unlimited

Human wants are countless in number and various in kinds. When